The Policy Desk

In-Class Activity | Chapter 21 + 22

A monetary policy role-play simulation



Overview

You are members of a fictional central bank's monetary policy committee — the Federal Open Market Committee (FOMC) analog for the country of Frankapolis. Each round, the committee receives an economic scenario and must vote on the appropriate policy interest rate response.

But the committee is not made up of perfectly aligned, purely objective technocrats. Each member has a public mandate and a private incentive — and those don't always point in the same direction.

Learning Objectives

By the end of this activity you should be able to:

- Identify how the AD and SRAS are shifting in response to economic shocks, and the appropriate response from the FOMC
- Trace the mechanism from an economic shock → MPRC response → AE → AD shift
- Understand the contested decision-making tension when central bankers are not aligned
- Explain why central bank independence is important for a well-functioning economy

Background: The Real FOMC

Before we play, a quick primer on the actual institution you're modeling.

Structure of the Federal Reserve

The Federal Reserve System has three layers:

Layer	Details
Board of Governors	7 members appointed by the President, confirmed by the Senate. Serve 14-year terms (staggered). The Chair and Vice Chair are appointed from among the governors for 4-year terms.
Regional Fed Banks	12 regional banks (e.g., NY Fed, Chicago Fed). Each has a president appointed by its board of directors (subject to Board of Governors approval). The NY Fed president always votes; other regional presidents rotate.
The FOMC	Sets the federal funds rate target. Comprised of all 7 governors + 5 rotating regional bank presidents (NY Fed always votes). Meets 8 times per year. Decisions are by majority vote.

Central Bank Independence

The Fed is designed to be insulated from short-run political pressure. The logic:

- Politicians face election cycles — they have an incentive to push for low rates and easy money before elections, even if that stores up inflation problems for later.
- This is the time consistency problem: the policy that may boost the economy today (stimulus) may not be optimal for the long run (price stability).
- If the public expects the central bank to cave to political pressure, inflation expectations rise — shifting SRAS left and making the job harder.
- Long terms, staggered appointments, and institutional norms all help protect independence.

The Fed's dual mandate is price stability and maximum employment. But individual members may weight these differently — and outside pressure can distort priorities further.

Your Committee

Each group has 4–5 members. Assign roles before Round 1. Role cards with full details will be provided separately — for now, here is a summary.

Role	Public Mandate	Private Incentive (your card only)	Private Win Condition (+1 pt/round)
The Chair	**(Must reveal to Committee)** Maintain price stability and maximum employment; protect the institution's credibility	*Wants consensus above all — a split vote looks like institutional dysfunction, which you fear more than a wrong rate decision*	**+2 if final vote is unanimous or +1 for 4-1 (no visible fractures)**
The Hawk	Prioritize low, stable inflation above all else — the Fed's primary obligation is price stability	*Believes the committee has been too soft for years. Reads every ambiguous scenario as inflationary. Will dissent loudly if overruled.*	**+2 if committee raises rates or +1 if holds when others voted to cut**
The Dove	Prioritize full employment; inflation is a secondary concern as long as expectations are anchored	*You care deeply about the well being of those at the bottom of the income distribution, even if this means higher prices for everyone it is worth ensuring low unemployment.*	**+2 if committee cuts rates or +1 if holds when others voted to raise**
The Political Appointee	Dual mandate, but sensitive to the administration's growth agenda	*Receiving informal signals from the executive branch that high rates are politically toxic heading into an election. You need a favor returned.*	**+2 if real rate does not rise this round, regardless of what the model implies**
The Regional Hawk (optional 5th)	Represents a manufacturing-heavy district where inflation hits workers hardest	*Your district's union leaders called you this morning. Prices are up and they're furious. You need to show you fought for a rate hike.*	**+2 if the committee raises rates or +1 if you voted to raise rates (even in a losing minority)**

Note: *Private incentives are on your role card only. You are not required to reveal them — but you may choose to hint, bluff, or stay silent. The debrief will surface what actually drove decisions.*

How It Works

Each Round (~12 minutes)

1. **Read the scenario card aloud (1 min)**
2. **Individual analysis (5 min):** each member completes their analysis box on the round sheet — which curve shifts? What does the model say about the rate?
3. **Committee deliberation (5 min):** argue for your position. The Chair facilitates and calls the vote.
4. **Record the outcome (2 min):** vote tally, final rate decision, and credibility impact on the answer sheet.

Scores

Score	How it works
Personal Score (starts at 0)	Tracks whether you achieved your private win condition each round. Self-reported and kept secret until the debrief. • Win condition met: +2 or +1 (see your role card) • Win condition not met: +0 *Maximum possible: 6 points (two per round). Revealed only at debrief.*
Economy Score (+2, 0, -2)	Depending on how the committee navigates the shocks to the economy and the decisions it makes along the way, the economy may end up in a good, medium, or bad state. Add these points to your score at the end.

The tension: your personal score rises when you achieve your private goal. However, if the committee does not fulfill its dual mandate, the economy suffers, and the central bank loses its credibility.

Model Cheat Sheet

Use this during deliberation. For each scenario, identify which shocks are present, look up which curve(s) they move, and use that to anchor your argument about the rate.

The Three Curves — Quick Reminder

Curve	What it shows	Slopes / orientation
Aggregate Demand (AD)	Inflation vs. output. Accounts for the fact that policymakers react to inflation by changing the interest rate.	Downward sloping: higher inflation → Fed raises real rate → AE falls → less output demanded
Short-Run AS (SRAS)	Inflation vs. output. In the short run, supply increases if there is a decrease in expected inflation.	Upward sloping: higher current inflation → firms produce more
Long-Run AS (LRAS)	Output equals potential output Y*. Inflation is determined by monetary policy in the long run.	Vertical at Y*: output and inflation are unrelated in the long run

What Shifts AD? (and which direction)

AD shifts when something changes aggregate expenditure (AE) for reasons unrelated to the current real interest rate — or when the monetary policy reaction curve (MPRC) itself shifts.

Shock	AD shifts	Why
↑ Consumer confidence / optimism	**RIGHT →**	C rises independently of the interest rate
↑ Government spending (G)	**RIGHT →**	Non-interest-sensitive AE component rises;
↓ Taxes	**RIGHT →**	Raises disposable income → C rises
↑ Business investment optimism	**RIGHT →**	I rises at every interest rate
↑ Net exports (trading partner boom)	**RIGHT →**	X rises, M unchanged → NX up
↓ Consumer confidence / pessimism	**← LEFT**	C falls independently of the interest rate
↓ Government spending / fiscal tightening	**← LEFT**	AE falls
↓ Net exports (trading partner recession)	**← LEFT**	Export demand falls → NX down
Fed cuts inflation target (π^T ↓)	**← LEFT**	MPRC shifts left → AD decreases
Fed raises inflation target (π^T ↑)	**RIGHT →**	MPRC shifts right → AD increases
↑ Potential output (Y*)	**RIGHT →**	r* falls → MPRC shifts right → AD shifts right

What Shifts SRAS? (and which direction)

SRAS shifts when production costs change, or when inflation expectations change. A leftward shift means firms supply less at every inflation level — stagflation territory.

Shock	SRAS shifts	Why
↑ Energy / oil prices	← LEFT	Higher input costs → firms produce less at every price level
↑ Wages / labor costs (e.g. payroll tax, min wage)	← LEFT	Production costs rise → leftward shift
↑ Raw material prices broadly	← LEFT	Input costs up → firms supply less
↑ Inflation expectations (π^e ↑)	← LEFT	Workers demand higher wages today; firms build in higher costs — equivalent to a cost increase
Loss of central bank credibility	← LEFT	Expectations unanchor → π^e rises → SRAS shifts left
↓ Energy / commodity prices	RIGHT →	Input costs fall → firms can supply more at every price level
↑ Productivity / technology improvement	RIGHT →	Firms produce more with same inputs → costs per unit fall
↓ Inflation expectations (π^e ↓)	RIGHT →	Workers accept lower wage growth; firms lower cost projections

The Fundamental Constraint: What Monetary Policy Can and Cannot Do

✓ CAN DO	✗ CANNOT DO
Shift the AD curve Fully neutralize a demand shock (stabilize both output and inflation simultaneously) Stabilize either output or inflation following a supply shock (but not both at once) Re-anchor inflation expectations through credible tightening	Shift the SRAS curve directly Offset a supply shock without a trade-off — any response involves sacrificing either inflation or output stability Simultaneously stabilize both output and inflation after a temporary supply shock

Transmission chain: *Fed changes administered rates → federal funds rate target shifts → loanable funds market rate changes → investment and interest-sensitive spending change → AE shifts → AD shifts*

Responding to a Demand Shock

Monetary policy can fully neutralize a demand shock — uniquely, the Fed can stabilize both output and inflation at the same time by shifting AD back to where it started.

Choice	Policy action	Output effect	Inflation effect
1. No response	Hold rates. Let self-correcting forces work through SRAS shifts over time.	Output gap persists in short run before slowly correcting	Inflation deviates from target in short run before slowly correcting
2. Respond ✓	Shift AD back: cut rates (negative shock) or raise rates (positive shock) to return AD to original position.	Stabilized — output returns to Y*	Stabilized — inflation returns to target T

Responding to a Supply Shock — The Three Choices

Unlike demand shocks, supply shocks create an unavoidable trade-off. Monetary policy works through AD only — it cannot shift SRAS. The committee must choose which problem to prioritize.

Choice	Policy action	Output effect	Inflation effect
1. No response	Hold rates and AD. Wait for self-correcting forces: as output falls below Y*, inflation falls below π_e, SRAS gradually shifts back right.	Falls below Y* in short run; recovers slowly as SRAS self-corrects	Rises above target initially; falls back to T as SRAS recovers
2. Stabilize inflation *(Hawk's preference)*	Raise rates to shift AD left, pushing inflation back to target. Accepts lower output as the cost.	Falls further below Y* — the rate hike amplifies the output contraction from the shock	Held at target T — inflation stabilized immediately
3. Stabilize output *(Dove's preference)*	Cut rates to shift AD right, keeping output at Y*. Accepts higher inflation as the cost.	Held at Y* — output stabilized immediately	Rises above target T — inflation worsens

Remember: *throughout the simulation you may encounter supply side shocks. The three-choice framework above is how your committee should structure its argument. Asking 'which choice are we making?' is more productive than just arguing about the rate direction.*

Round 1

Name: _____Your Role: _____

1. Given your individual preferences, how will you vote to change interest rates?

☐ Raise it ☐ Lower it ☐ Hold (no change)

Reasoning:

_____

2. Committee outcome:

Final decision: ☐ Raise ☐ Lower ☐ Hold Vote: _____ to _____ to _____

Any dissents? Who, and why?

_____

3. Personal score (private — do not share until debrief):

Did you meet your private win condition this round? ☐ (+2) ☐ (+1) ☐ (+0)

Running personal total: _____

Round 2

Name: _____Your Role: _____

1. Given your individual preferences, how will you vote to change interest rates?

☐ Raise it ☐ Lower it ☐ Hold (no change)

Reasoning:

_____

2. Committee outcome:

Final decision: ☐ Raise ☐ Lower ☐ Hold Vote: _____ to _____ to _____

Any dissents? Who, and why?

_____

3. Personal score (private — do not share until debrief):

Did you meet your private win condition this round? ☐ (+2) ☐ (+1) ☐ (+0)

Running personal total: _____

Round 3

Name: _____Your Role: _____

1. Given your individual preferences, how will you vote to change interest rates?

☐ Raise it ☐ Lower it ☐ Hold (no change)

Reasoning:

_____

2. Committee outcome:

Final decision: ☐ Raise ☐ Lower ☐ Hold Vote: _____ to _____ to _____

Any dissents? Who, and why?

_____

3. Personal score (private — do not share until debrief):

Did you meet your private win condition this round? ☐ (+2) ☐ (+1) ☐ (+0)

Running personal total: _____